

SBA 7(a) and 504 Loan Prep Guide

A plain-English guide for owners of established small businesses: what each program is for, how they differ, what to gather, and what to ask.

Rules change. Check SBA.gov or a lender.

SBA rules change, sometimes several times a year. SOP 50 10 8.1 is effective October 1, 2026 for applications issued an SBA loan number on or after that date. Program facts in this guide were checked on SBA.gov and in SOP 50 10 8.1 on October 1, 2026 and are cited in the Sources appendix. Before you rely on any detail, confirm it on SBA.gov or with a lender.

Who this is for. Owners of privately held businesses (think dental and medical practices, contractors, landscapers, auto shops, farms, and logistics companies) who have heard "you might be a fit for an SBA loan" and want to understand what that means before they sit down with a lender.

What this is not. This guide is educational. It is not legal, tax, or financial advice, it is not an offer of credit, and it cannot tell you whether you will be approved. Only a lender (and in some cases SBA) can do that.

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1. What an SBA loan really is

The U.S. Small Business Administration (SBA) mostly does not lend money to businesses directly. Instead, it **guarantees part of a loan made by a private lender**. If the loan goes bad, SBA covers the guaranteed share of the lender's loss. That guarantee lets lenders make loans they might not make otherwise, for example with a longer term or less collateral than a conventional loan.

Two points owners often miss:

- **The guarantee protects the lender, not you.** You still owe the full amount, and owners of 20% or more generally must personally guarantee the loan (13 CFR 120.160).
- **You work with the lender, not SBA.** SBA says you apply through a lender and "will always work directly with your lender and not with SBA" for 7(a) loans. For 504 loans you work with a Certified Development Company (CDC) and a bank or other senior lender.

2. The 7(a) program at a glance

7(a) is SBA's primary business loan program and the most flexible. Think of it as a general-purpose loan with a federal guarantee behind it.

Topic	What SBA says (as checked Oct 1, 2026)
Common uses	Buying, refinancing, or improving real estate; short- and long-term working capital; refinancing business debt; machinery and equipment; furniture, fixtures, and supplies; buying a business (full or partial change of ownership); or a mix of these.
Maximum loan	\$5 million for most 7(a) loans. SBA Express loans max out at \$500,000. Separate from that, SBA policy effective July 4, 2026 lets many borrowers use 7(a) and 504 together (usually approve 7(a) first) without the 7(a) balance cutting into 504 capacity. Confirm current combined limits with a lender or CDC.
SBA guarantee to the lender	For most 7(a) loans, up to 85% of loans of \$150,000 or less and up to 75% of loans above \$150,000. SBA Express is 50%. (This is the lender's protection, not a discount for you.)
Term	The shortest appropriate term, generally 10 years or less unless the loan finances real estate or equipment with a longer useful life. Maximum of 25 years for real estate.
Interest rate	Negotiated between you and the lender, but capped by SBA maximums. Can be fixed or variable.
Fees	SBA charges the lender an upfront guaranty fee, which the lender is allowed to pass on to the borrower. SBA publishes fee amounts each fiscal year. Ask your lender for the exact figure on your loan.
Prepayment	For loans with terms of 15 years or longer, a prepayment fee applies if you prepay 25% or more in the first three years: 5% in year one, 3% in year two, 1% in year three.

SBA also offers 7(a) variations for specific needs, such as SBA Express, export loans, CAPLines for seasonal or contract working capital, Manufacturers' Access to Revolving Capital (MARC), and a Working Capital Pilot for monitored lines of credit. Your lender can tell you which, if any, fits.

Buying a business: SOP 50 10 8.1 puts change-of-ownership rules in Appendix 15. Coverage standards, valuation, and Quality of Earnings requirements can be stricter than for other loan purposes. Ask a lender early if your deal is an acquisition or owner buyout.

3. The 504 program at a glance

504 is built for one thing: **long-term, fixed-rate financing for major fixed assets**, such as buying or building your own building, or buying heavy equipment with a long useful life. It is common for owner-occupied real estate, like a dental practice buying its office.

Topic	What SBA says (as checked Oct 1, 2026)
Common uses	Buying, building, or renovating buildings or land; long-term machinery and equipment with at least 10 years of remaining useful life; certain qualified debt refinancing.
Not allowed	Working capital or inventory; speculation or investment in rental real estate; refinancing debt that does not meet SBA's definition of qualified debt.
Typical structure	Up to 50% of the project from a private lender (first lien), up to 40% from a CDC loan backed by a 100% SBA-guaranteed debenture (second lien), and at least 10% from the borrower.
Maximum	SBA lists 504 amounts from \$25,000 up. Standard projects are generally capped at \$5 million aggregate gross debenture; small manufacturers and certain energy public policy projects can reach \$5.5 million per eligible project. That limit applies to the SBA-backed CDC portion; the senior lender's loan is separate. Confirm current limits with a CDC.
Terms and rate	10-, 20-, and 25-year terms. Fixed rate on the CDC portion, pegged to an increment above the 10-year U.S. Treasury rate.
Who you work with	A Certified Development Company (CDC), a nonprofit certified and regulated by SBA, plus a bank or other senior lender.

4. 7(a) vs. 504 side by side

	7(a)	504
Best for	Flexible needs: working capital, acquisitions, equipment, real estate, refinancing, or a mix	Major fixed assets: owner-occupied real estate and long-life equipment
Working capital?	Yes	No
Buying a business?	Yes (change of ownership)	Generally no, unless the project is fixed assets
Rate	Fixed or variable, negotiated, capped by SBA	CDC portion fixed; senior lender portion set by that lender
Your money in	SOP 50 10 8.1 generally requires at least 10% equity for startups and many business purchases (details by deal type in Appendix 15)	At least 10% of project cost is typical; can be higher in some cases
Who you apply with	An SBA 7(a) lender	A CDC plus a senior lender

Not either/or

If you are buying your building and also need working capital or want to buy the business that operates there, some owners use both programs, or a conventional loan alongside one. Under Policy Notice 5000-879058 (effective July 4, 2026, folded into SOP 50 10 8.1), outstanding 7(a) balances generally do not reduce available 504 capacity when the 7(a) is approved first. A lender or CDC can walk through the tradeoffs.

5. Who is eligible (the high-level basics)

SBA's basic rules are the same starting point for both programs. Meeting them does not mean approval. It means the conversation can start.

Requirement	Plain English	Source
Operating business, for profit	An active business that earns money. Nonprofits are not eligible (for-profit subsidiaries can be).	13 CFR 120.100, 120.110(a)
Located in the U.S.	The business is located and operates in the United States.	13 CFR 120.100(c)
Small under SBA size standards	Size standards vary by industry (NAICS code), are usually based on employees or average annual receipts, and include affiliated businesses. Use SBA's Size Standards Tool rather than guessing.	13 CFR 120.100(d); SBA Size Standards Tool
Not an ineligible business type	Examples: lenders and finance companies, passive real estate investors and landlords who do not occupy the property, life insurance companies, speculative businesses, businesses earning more than one-third of revenue from legal gambling, pyramid sales plans, private clubs that limit membership for reasons other than capacity, political or lobbying businesses, and a few others.	13 CFR 120.110
Credit not available elsewhere on reasonable terms	The lender has to show you cannot get the same credit on reasonable terms without the SBA guarantee, for example because of a long term needed, limited collateral, or a young business.	13 CFR 120.101
Creditworthy, able to repay	The loan must be sound. Lenders look at credit history, cash flow, and, where applicable, equity and collateral.	13 CFR 120.150; sba.gov 7(a) page
Owners have money in the deal	Lenders look for real owner equity. Under SOP 50 10 8.1, startups (about one year of revenue or less) and many business purchases generally need at least 10% equity; acquisition details vary by transaction type in Appendix 15. For 504, SBA describes at least 10% from the borrower.	SOP 50 10 8.1; sba.gov lender program page
Sound use of proceeds	Money must benefit the business. Not allowed, for example: paying past-due payroll or sales taxes held in trust, payments to owners beyond ordinary pay (except for approved ownership changes), or buying property to hold for investment.	13 CFR 120.130
No prior loss to the government	A past default on a federal loan that cost the government money (by the business or its owners' prior businesses) can make a business ineligible unless SBA waives it.	13 CFR 120.110(q)
Owner citizenship and residency	Under SOP 50 10 8.1, all direct and indirect owners and SBA-required guarantors generally must be U.S. citizens or U.S. nationals whose principal residence is in the U.S., its territories, or possessions. Confirm with your lender.	SOP 50 10 8.1; SBA Procedural Notice 5000-876626

6. Documents and SBA forms

Expect everything a lender asks for on a conventional loan (tax returns, financial statements, debt schedule, personal financial statements, entity documents) plus SBA forms. The companion **Loan Package Checklist** in this toolkit lists the financial documents by loan type.

SBA form	What it is	Notes
Form 1919, Borrower Information Form	Completed by the business applying for a 7(a) loan and its owners. Collects information on the business, owners, the loan request, existing debt, and prior government financing.	Required for every 7(a) loan. Current version effective March 19, 2025.
Form 1244, Application for Section 504 Loans	Used to review eligibility for a 504 loan.	Your CDC will guide you through it.
Form 413, Personal Financial Statement	Your personal assets, debts, income, and contingent liabilities.	Used for 7(a), 504, and other SBA programs. Current version effective Feb 13, 2025. Your lender may use its own PFS form.
Form 912, Statement of Personal History	Background information on owners.	Still posted on SBA.gov. Whether you need it depends on current SBA rules and your answers on other forms. Your lender will tell you.

Form numbers and versions change. Always download forms from SBA.gov or get them from your lender, never from a third-party site.

7. The steps, and what drives the timeline

Step	What happens
1. Get your numbers in order.	Tax returns, year-to-date financials, debt schedule, and a personal financial statement for each owner. Know how much you need, what it is for, and how it gets repaid.
2. Talk to a lender early.	Ask whether they make SBA loans and whether SBA or conventional financing fits better. For 504, look up Certified Development Companies on SBA.gov.
3. Initial review and terms.	The lender reviews your information and, if it looks workable, outlines proposed terms. This is not a final approval.
4. Full application and underwriting.	You complete SBA forms and provide remaining documents. The lender orders third-party reports as needed (appraisal, environmental review, business valuation).
5. SBA review or delegated approval.	Lenders with SBA delegated authority can approve many loans without prior SBA review. Otherwise the lender submits to SBA. SBA lists its own processing time for standard 7(a) loans as 5 to 10 business days, but that is only SBA's step, not the whole process.
6. Closing and funding.	Loan documents, insurance, lien filings, and any conditions are completed. For construction, funds are usually disbursed in stages.

How long does it take?

There is no standard number of days. In practice, the biggest drivers are how complete your package is, how fast you answer follow-up questions, and how long third-party reports (appraisals, environmental reviews, valuations) take. Real estate and acquisitions usually take longer than equipment or working capital. Ask your lender for a realistic timeline for your deal, and build in a cushion if you have a contract deadline.

8. Common mistakes

- **Sending incomplete tax returns.** Missing schedules or statements are one of the most common causes of delay.
- **Starting too late.** Signing a purchase contract with a short financing deadline before talking to a lender.
- **Assuming SBA means easy.** SBA loans are still underwritten. Cash flow, credit, and the quality of your numbers still matter.
- **Unexplained add-backs.** If you want a lender to add back an expense, be ready to show why it will not recur.
- **Forgetting debts or past government loans.** Disclose everything, including personal guarantees and prior SBA, USDA, or disaster loans.
- **Underestimating costs.** Leaving out closing costs, fees, working capital, or a construction contingency.
- **Unfiled returns or tax liens.** Resolve or disclose them early. SBA loan proceeds cannot be used to pay past-due trust fund taxes.
- **Mixing personal and business spending.** It muddies cash flow and slows underwriting.
- **Using outdated forms or rules.** SBA forms and procedures change. Get forms from SBA.gov or your lender.

9. Questions to ask a lender

- Do you make SBA loans regularly? Do you have SBA delegated (preferred lender) authority?
- Based on what you have seen, is SBA or conventional financing a better fit for this request? Why?
- 7(a), 504, or a combination? What are the tradeoffs for my situation?
- Is the rate fixed or variable? If variable, what is it tied to, and how often does it adjust?
- What fees should I expect, including the SBA guaranty fee, and can any be financed?
- Is there a prepayment penalty?
- What collateral will you take? Will you need a lien on my home or other personal assets?
- Who needs to personally guarantee the loan?
- How much of my own money do I need to put in, and what sources are acceptable?
- Which third-party reports will you order, about what will they cost, and who pays?
- What ongoing reporting will you require after closing (financial statements, tax returns, covenants)?
- Who is my day-to-day contact, and what is a realistic timeline for a deal like mine?

Please note

Educational use only, not an offer of credit. Nothing in this guide is a promise that any business is eligible or will be approved. SBA program details change; verify at SBA.gov and consult your own lender, accountant, and attorney.

Appendix: Sources (as checked Oct 1, 2026)

Every SBA program fact in this guide comes from one of these official sources. Rules change; check the current version before relying on any figure.

Source	URL
SBA, 7(a) loans (uses, \$5 million max, eligibility, how to apply)	https://www.sba.gov/funding-programs/loans/7a-loans
SBA, 504 loans (uses, restrictions, terms, rate basis, CDCs; body cites \$5.5 million max)	https://www.sba.gov/funding-programs/loans/504-loans
SBA, Lender program terms, conditions, and eligibility (guarantee percentages, maturities, fees, prepayment, 504 50/40/10 structure, SBA processing times, program comparison)	https://www.sba.gov/partners/lenders/7a-loan-program/terms-conditions-eligibility
SBA, Loans overview	https://www.sba.gov/funding-programs/loans
SBA, Policy Notice 5000-879058, Coordination of 7(a) and 504 for Maximum Loan Limits (effective July 4, 2026)	https://www.sba.gov/document/policy-notice-5000-879058-coordination-7a-504-maximum-loan-limits
SBA, Information Notice 5000-880695, Issuance of SOP 50 10 8.1 (effective Oct 1, 2026)	https://www.sba.gov/document/information-notice-5000-880695-issuance-sop-50-10-81
SBA, Size standards and Size Standards Tool	https://www.sba.gov/federal-contracting/contracting-guide/size-standards and https://www.sba.gov/size-standards/
SBA, SOP 50 10 8.1 (Lender and Development Company Loan Programs), effective Oct 1, 2026	https://www.sba.gov/document/sop-50-10-lender-development-company-loan-programs
SBA, Procedural Notice 5000-876626, Revised Applicant Ownership, Citizenship, and Residency Requirements (effective Mar 1, 2026)	https://www.sba.gov/document/procedural-notice-5000-876626-revised-applicant-ownership-citizenship-residency-requirements-7a-504-loans
SBA Form 1919, Borrower Information Form	https://www.sba.gov/document/sba-form-1919-borrower-information-form
SBA Form 1244, Application for Section 504 Loans	https://www.sba.gov/document/sba-form-1244-application-section-504-loans
SBA Form 413, Personal Financial Statement	https://www.sba.gov/document/sba-form-413-personal-financial-statement
SBA Form 912, Statement of Personal History	https://www.sba.gov/document/sba-form-912-statement-personal-history
SBA Franchise Directory	https://www.sba.gov/business-guide/plan-your-business/buy-existing-business-or-franchise/sba-franchise-directory
13 CFR 120.100, 120.101, 120.110, 120.130, 120.150, 120.160 (eCFR title 13 latest issue date Sep 29, 2026 as of this check)	https://www.ecfr.gov/current/title-13/chapter-I/part-120

Citizenship and residency language above is from SOP 50 10 8.1 Section A, Ch. 1, Para. F (effective Oct 1, 2026), which incorporates the March 2026 notices.

Brandon Chiesa is a Central Virginia business banker with 15+ years of experience. Views are his own. See brandonchiesa.com for the full disclaimer.